

Midea Group (H/A)

Improving outlook in 2H26; strong shareholder returns

PO: 101.60 HKD | Price: 92.25 HKD

2Q26 preview; three reasons for Buy

BofA preview – revenue +LSD-MSD driven by overseas and 2B (partly offset by likely domestic 2C declines), core NPAT -MSD on cost and FX losses, and reported NPAT up YoY after factoring in investment gains as well as impairment charges. We reiterate Buy rating due to 1) improving outlook in 2H26, 2) diversification into 2B and overseas to support long-term growth and valuation, and 3) solid shareholder returns (100% payout ratios including share buyback, with potential upside from investment gains),

Expecting improving outlook in 2H26

Midea guides for MSD-HSD revenue growth and largely stable core margins in FY26. We estimate that its 1H26 run rate is tracking behind schedule, but see potential for a catch-up in 2H26. 1) **2C**. China/overseas was +SD/flat in 1Q26, and estimated to be -MSD/+MSD in 2Q26. We expect stronger China/overseas in 2H26, due to an easier base (demand pull-forward by trade-in subsidies in China and overseas rush orders amid trade wars in 1H26) and continued strength of OBM (expected to be +teens). 2) **2B**. We estimate 2B growth to be +MSD in 1H26 and expect similar or faster trends in 2H26. Historically, 2B enjoyed >10% growth but FY26 growth could be below-trend given the drag from Industrial Solution (components for 2C) and a high base of Intelligent Building. Energy Storage and Kuka should outperform the 2B average. 3) **Core margins**. We expect margin expansion in 2H26, due to an easier base, recent corrections of plastic cost and very stringent cost and SG&A control.

Potential investment gains to offer dividend upside

We expect Midea to book mark-to-market fair value changes from its investment in memory companies since 2Q, and see likely meaningful gains in 2Q/3Q26. Some of these gains may likely be offset by impairment charges. While the investment is subject to a one-year lock-up period, we expect Midea to monetize the stake following the lock-up expiry in 2027. We also see the potential for the associated proceeds to be returned to shareholders through special dividends or other shareholder return initiatives.

Estimates (Dec) (CNY)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	38,537	43,945	46,555	50,606	54,339
EPS	5.42	5.78	6.11	6.68	7.20
EPS Change (YoY)	10.0%	6.6%	5.8%	9.3%	7.8%
Dividend / Share	3.49	5.79	4.81	5.39	5.81
Free Cash Flow / Share	7.45	5.58	6.84	7.31	7.57
Valuation (Dec)					
P/E	16.00x	14.34x	13.05x	11.95x	11.08x
Dividend Yield	4.02%	6.99%	6.03%	6.75%	7.28%
EV / EBITDA*	13.16x	11.38x	10.48x	9.88x	9.41x
Free Cash Flow Yield*	8.64%	6.92%	8.49%	9.02%	9.30%

* For full definitions of *IQmethod*SM measures, see page 7.

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Refer to important disclosures on page 8 to 11. Analyst Certification on page 4. Price Objective Basis/Risk on page 4.

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Stock Data

Rating (H Share)	BUY
Rating (A Share)	BUY
Price (H Shr / A Shr)	92.25 HKD / 82.71 CNY
Price Objective	101.60 HKD / 96.00 CNY
Date Established	6-Jan-2026 / 6-Jan-2026
Investment Opinion	A-1-7 / B-1-7
52-Week Range	75.60 HKD- 95.00 HKD
52-Week Range	69.88 CNY- 85.90 CNY
Mkt Val / Shares Out (mn)	90,080 USD / 7,656.0
Market Value (mn)	706,262 HKD
Average Daily Value (mn)	93.50 USD
Free Float	69.7%
BofA Ticker / Exchange	MGCOF / HKG
BofA Ticker / Exchange	XMGFE / SHZ
Bloomberg / Reuters	300 HK / 0300.HK
Bloomberg / Reuters	000333 CH / 000333.SZ
ROE (2026E)	20.4%
Net Dbt to Eqty (Dec-2025A)	-8.3%

Acronyms

NPAT: net profit after tax

2B/2C: to business/consumer

LSD/MSD/HSD: low/mid/high-single digit

OBM/OEM: original brand/equipment manufacturer

SG&A: selling, general & admin expenses

iQprofileSM Midea Group (H/A)

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(CNY Millions)					
Sales	409,084	458,502	475,284	507,547	543,485
Gross Profit	107,380	120,296	122,551	131,021	140,198
Sell General & Admin Expense	(53,260)	(58,984)	(58,317)	(61,413)	(65,762)
Operating Profit	36,874	42,366	45,846	50,027	53,526
Net Interest & Other Income	9,815	10,720	10,250	10,950	11,950
Associates	NA	NA	NA	NA	NA
Pretax Income	46,690	53,085	56,096	60,977	65,476
Tax (expense) / Benefit	(7,933)	(8,565)	(8,975)	(9,756)	(10,476)
Net Income (Adjusted)	38,537	43,945	46,555	50,606	54,339
Average Fully Diluted Shares Outstanding	7,113	7,608	7,621	7,581	7,551

Key Cash Flow Statement Data					
Net Income	38,537	43,945	46,555	50,606	54,339
Depreciation & Amortization	7,824	9,340	10,796	10,144	9,659
Change in Working Capital	34,802	2,323	1,983	1,809	833
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	(20,652)	(2,262)	566	615	660
Cash Flow from Operations	60,512	53,346	59,900	63,174	65,492
Capital Expenditure	(7,840)	(11,142)	(8,080)	(8,121)	(8,696)
(Acquisition) / Disposal of Investments	(85,078)	32,627	0	0	0
Other Cash Inflow / (Outflow)	5,016	3,855	0	0	0
Cash Flow from Investing	(87,902)	25,340	(8,080)	(8,121)	(8,696)
Shares Issue / (Repurchase)	NA	NA	NA	NA	NA
Cost of Dividends Paid	(22,822)	(33,080)	(36,313)	(40,485)	(43,472)
Cash Flow from Financing	22,698	(64,958)	(36,313)	(40,485)	(43,472)
Free Cash Flow	52,672	42,204	51,820	55,053	56,796
Net Debt	(55,980)	(19,667)	(35,174)	(49,742)	(63,066)
Change in Net Debt	(58,018)	(214,314)	(15,507)	(14,568)	(13,324)

Key Balance Sheet Data					
Property, Plant & Equipment	38,893	48,038	45,322	43,299	42,336
Other Non-Current Assets	176,395	144,091	144,091	144,091	144,091
Trade Receivables	35,799	40,450	40,283	45,930	44,899
Cash & Equivalents	140,410	85,247	100,754	115,322	128,646
Other Current Assets	212,855	290,965	296,371	293,676	300,290
Total Assets	604,352	608,792	626,821	642,318	660,262
Long-Term Debt	13,759	15,854	15,854	15,854	15,854
Other Non-Current Liabilities	11,106	13,130	13,130	13,130	13,130
Short-Term Debt	70,671	49,726	49,726	49,726	49,726
Other Current Liabilities	281,149	293,657	300,879	305,641	312,056
Total Liabilities	376,684	372,368	379,589	384,351	390,767
Total Equity	227,667	236,424	247,232	257,968	269,496
Total Equity & Liabilities	604,352	608,792	626,821	642,318	660,262

iQmethod SM - Bus Performance*					
Return On Capital Employed	12.9%	13.7%	14.1%	14.8%	15.4%
Return On Equity	20.3%	20.0%	20.4%	21.2%	21.8%
Operating Margin	9.9%	10.0%	10.5%	10.7%	10.6%
EBITDA Margin	11.2%	11.5%	12.1%	12.0%	11.8%

iQmethod SM - Quality of Earnings*					
Cash Realization Ratio	1.6x	1.2x	1.3x	1.2x	1.2x
Asset Replacement Ratio	1.0x	1.2x	0.7x	0.8x	0.9x
Tax Rate (Reported)	17.0%	16.1%	16.0%	16.0%	16.0%
Net Debt-to-Equity Ratio	-24.6%	-8.3%	-14.2%	-19.3%	-23.4%
Interest Cover	15.4x	19.7x	24.9x	27.2x	29.0x

Valuation (A-share)					
P/E	15.27x	14.32x	13.54x	12.39x	11.49x
Dividend Yield	4.22%	7.00%	5.82%	6.51%	7.02%
EV / EBITDA*	-0.245x	-0.212x	-0.195x	-0.184x	-0.175x
Free Cash Flow Yield*	NA	NA	NA	NA	NA

* For full definitions of iQmethodSM measures, see page 7.

Company Sector

Appliances

Company Description

Midea is a leading technology-driven global provider of Smart Home Solutions (2C) and Commercial & Industrial Solutions (2B). It is the world's largest home appliance company. Its subsidiary KUKA is one of the world's big 4 industrial robotics companies. Midea Electric was listed on Shenzhen Stock Exchange in 1993 and Midea Group listed in 2013 by merging with Midea Electric. Midea was also listed on Hong Kong Stock Exchange in Sept 2024.

Investment Rationale

We rate Midea as Buy for three reasons. 1) Midea's 2C+2B & globalization support steady growth against China's macro softness. 2) Midea is a proxy to China stimulus given trade-in subsidies now and optionality on more subsidies in 2025. 3) Midea's consistent track record, quality management and solid shareholder returns make it a consumer core holding in A & H-share market, in our view.

Financials

Exhibit 1: Midea: P&L

Healthy growth outlook

RMB mn	2024A	2025A	2026E	2027E	2028E
Revenue	409,084	458,502	475,284	507,547	543,485
Cost of Sales	-299,585	-335,990	-350,435	-374,071	-400,659
Gross Profit	107,380	120,296	122,551	131,021	140,198
Selling&Distribution Cost	-38,754	-42,891	-42,300	-44,664	-47,827
Administrative Cost	-14,506	-16,092	-16,017	-16,749	-17,935
Operating Profit	36,874	42,366	45,846	50,027	53,526
Net Interest Expense	3,329	5,904	4,800	5,500	6,500
Net investment income	1,443	1,695	1,800	1,800	1,800
Change in fair value	1,302	782	750	750	750
Net non-operating income/(loss)	3,741	2,339	2,900	2,900	2,900
Profit Before Taxation	46,690	53,085	56,096	60,977	65,476
Income Tax	-7,933	-8,565	-8,975	-9,756	-10,476
Minority Interest	-220	-575	-565	-615	-660
Net Profit	38,537	43,945	46,555	50,606	54,339

Source: BofA Global Research estimates, Company

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Exhibit 2: Midea: Cash Flow

Strong cash generating

RMB mn	2024A	2025A	2026E	2027E	2028E
EBITDA	44,698	51,705	56,642	60,171	63,184
Less Changes in WK Capital	34,802	2,323	1,983	1,809	833
Less Net Interest Paid	3,329	5,904	4,800	5,500	6,500
Less Tax Paid	-7,933	-8,565	-8,975	-9,756	-10,476
Other	-14,386	1,979	5,450	5,450	5,450
Net Operating Cashflow	60,512	53,346	59,900	63,174	65,492
Less Capex	-7,840	-11,142	-8,080	-8,121	-8,696
Free Cashflow	50,639	40,346	48,018	50,485	51,905
Dividends	-22,822	-33,080	-36,313	-40,485	-43,472
Chg In Debt	-13,409	14,991	0	0	0
Others	-19,176	-8,867	3,802	4,568	4,891
Chg in Cash	-4,769	13,390	15,507	14,568	13,324

Source: BofA Global Research estimates, Company

BofA GLOBAL RESEARCH

Exhibit 3: Midea: Balance Sheet

Strong balance sheet

RMB mn	2024A	2025A	2026E	2027E	2028E
Cash & Cash Equity	140,410	85,247	100,754	115,322	128,646
Inventories	63,339	64,629	65,944	65,237	68,682
Trade and bills receivables	42,517	45,697	49,620	53,280	55,417
Prepayment	3,686	2,987	2,987	2,987	2,987
Other Current Assets	139,110	218,102	218,102	218,102	218,102
Total Current Assets	389,064	416,662	437,408	454,929	473,835
Property, Plant and Equipment	33,529	44,983	42,267	40,244	39,281
Long-term equity investment	5,223	4,775	4,775	4,775	4,775
Intangible assets	17,009	21,619	21,619	21,619	21,619
Goodwill	29,581	34,257	34,257	34,257	34,257
Other Non-Current Assets	129,946	86,495	86,495	86,495	86,495
Total Non-Current Assets	215,288	192,129	189,413	187,390	186,427
Total Assets	604,352	608,792	626,821	642,318	660,262
Short-term bank loans	31,009	43,905	43,905	43,905	43,905
Trade and bills payables	118,774	130,802	138,024	142,786	149,201
Accounts receivable in advance	49,255	46,993	46,993	46,993	46,993
Other Current Liabilities	152,782	121,684	121,684	121,684	121,684
Total Current Liabilities	351,820	343,384	350,606	355,367	361,783
Long-term bonds	3,267	3,195	3,195	3,195	3,195
Interest bearing borrowings	10,492	12,659	12,659	12,659	12,659
Others	11,106	13,130	13,130	13,130	13,130
Total Non-Current Liabilities	24,865	28,984	28,984	28,984	28,984
Total Liabilities	376,684	372,368	379,589	384,351	390,767
Minority Interest	10,917	13,203	13,768	14,383	15,043
Shareholder Equity	216,750	223,221	233,463	243,585	254,453

Source: BofA Global Research estimates, Company

BofA GLOBAL RESEARCH

Exhibit 4: Midea: Ratio Analysis

Healthy margins outlook

	2024A	2025A	2026E	2027E	2028E
Profit & Loss					
Revenue Growth (%)	9.5	12.1	3.7	6.8	7.1
Earnings Growth (%)	14.3	14.0	5.9	8.7	7.4
Core earnings Growth (%)	8.4	15.5	6.8	9.2	7.8
EPS Growth (%)	10.0	6.6	5.8	9.3	7.8
Gross Margin (%)	26.2	26.2	25.8	25.8	25.8
Operating Margin (%)	9.0	9.2	9.6	9.9	9.8
Net Margin (%)	9.4	9.6	9.8	10.0	10.0
Core net Margin (%)	8.7	9.0	9.3	9.5	9.5
Effective Tax Rate (%)	17.0	16.1	16.0	16.0	16.0
Balance Sheet					
Net Cash (RMB mn)	55,980	19,667	35,174	49,742	63,066
Net Debt/Equity (%)	-26	-9	-15	-20	-25
ROE (%)	20.3	20.0	20.4	21.2	21.8
ROA (%)	1.7	1.8	1.9	2.0	2.1
ROCE (%)	12.9	13.7	14.1	14.8	15.4
Inventory Days	67	70	68	64	61
Receivable Days	35	35	37	37	37
Payable Days	136	136	140	137	133
Working Capital Cycle	-26	-31	-35	-36	-36

Source: BofA Global Research estimates, Company

BofA GLOBAL RESEARCH

Price objective basis & risk

Midea Group (MGCOF)

Our PO for Midea-H is HK\$101.6, which is derived from a 50/50 blend of PE and DCF. Our DCF-based value is HK\$115, based on 11.1% WACC, 0.9x beta, and 2% terminal growth. Our P/E-based value is HK\$88.2, derived from 13x 2026E P/E, which is largely on par with HK listed China consumer peers and global home appliance peers, and at a 30% premium to HK-listed white goods peers on Midea's industry leadership and more stable growth outlook. We also assume HKDCNY exchange rate of 0.9.

Risks are a likely industry down-cycle in 2026 after the lapping of trade-in subsidies, tariffs, home appliance demand, execution risks of 2B expansion, commodity prices, industry competition, overseas regulations and tariffs, FX risk, and key personnel risk.

Midea Group Co Ltd (XMGEF)

Our PO for Midea-A of RMB96 is based on a 5% premium to our Midea-H PO (HK\$101.6), which is derived from a 50/50 blend of PE and DCF. Our DCF-based value is HK\$115, based on 11.1% WACC, 0.9x beta, and 2% terminal growth. Our P/E-based value is HK\$88.2, derived from 13x 2026E P/E, which is largely on par with HK listed China consumer peers and global home appliance peers, and at a 30% premium to HK-listed white goods peers on Midea's industry leadership and more stable growth outlook. We derive our target A/H premium based on the average of two factors. 1) Historically, the average of A/H premium for Haier Smart Home, Midea's closest peer, has been c.10%. 2) In 2025 YTD, Midea's own A/H premium has narrowed to largely nil. We also assume HKDCNY exchange rate of 0.9.

Risks are a likely industry down-cycle in 2026 after the lapping of trade-in subsidies, tariffs, home appliance demand, execution risks of 2B expansion, commodity prices, industry competition, overseas regulations and tariffs, FX risk, and key personnel risk.

Analyst Certification

I, Chen Luo, CFA, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	ABC-MART	AMKYF	2670 JP	Arashi Nishizawa
	AmorePacific Corp	AMRPF	090430 KS	Ahyung Cho
	and ST HD	PNMOF	2685 JP	Arashi Nishizawa
	Anker Innovations	XAIF	300866 CH	Yoyo Pang
	Anta Sports	ANPDF	2020 HK	Lucy Yu
	APR	XLTF	278470 KS	Ahyung Cho
	Asics	ASCCF	7936 JP	Arashi Nishizawa
	BGF Retail	XWAHF	282330 KS	Ahyung Cho
	Bosideng	BSDGF	3998 HK	Lucy Yu
	BUD APAC	BDWBF	1876 HK	Chen Luo, CFA
	Busy Ming Group	XYBMF	1768 HK	Jack Chen
	Chacha Food	XCCLF	002557 CH	Jack Chen
	China Pet Foods	XDEEF	002891 CH	Alice Ma
	China Resources Beer (Holdings) Co Ltd	CRHKF	291 HK	Chen Luo, CFA
	Coca-Cola Bottlers Japan Holdings	CCOJF	2579 JP	Manabu Sumoge
	Cosmax	XCRSF	192820 KS	Zoe (Jung-ae) Chun
	Cosmos Pharmaceutical	CSMYF	3349 JP	Arashi Nishizawa
	Dabur India	DBUIF	DABUR IN	Aditya Mathur
	DPC Dash Ltd	DPCDF	1405 HK	Lucy Yu

APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Eastroc	XBSF	605499 CH	Jack Chen
	Eastroc	ERBGF	9980 HK	Jack Chen
	Fast Retailing	FRCOF	9983 JP	Arashi Nishizawa
	Fast Retailing	FRCOY	FRCOY US	Arashi Nishizawa
	Foshan Haitian	XHFX	3288 HK	Jack Chen
	Godrej Consumer Products	XGOCF	GCPL IN	Aditya Mathur
	Goldwin	GWNCF	8111 JP	Arashi Nishizawa
	Guming	XGHXF	1364 HK	Lucy Yu
	Haier Smart Home Co Ltd	TTHEF	600690 CH	Lucy Yu
	Haier Smart Home Co Ltd	HRSHF	6690 HK	Lucy Yu
	Henan Shuanghui Investment & Dev	HSUIF	000895 CH	Chen Luo, CFA
	JINS HOLDINGS	JNDOF	3046 JP	Arashi Nishizawa
	Jubilant FoodWorks	XJUBF	JUBI IN	Aditya Mathur
	Kewpie	KWPCF	2809 JP	Manabu Sumoge
	Kikkoman	KIKOF	2801 JP	Manabu Sumoge
	Kirin Holdings	KNBWF	2503 JP	Manabu Sumoge
	Kobe Bussan	KOBNF	3038 JP	Arashi Nishizawa
	Kolmar Korea	XXKPF	161890 KS	Zoe (Jung-ae) Chun
	KT&G	KTCIF	033780 KS	Ahyung Cho
	Kweichow Moutai Co. Ltd.	XHJBF	600519 CH	Chen Luo, CFA
	Leela Palaces Hotels & Resorts	XSBLF	THELEELA IN	Aditya Mathur
	Lenskart Solutions	XLEMF	LENSKART IN	Aditya Mathur
	Li Ning Co Ltd	LNNGF	2331 HK	Lucy Yu
	Ligao Foods	XLFLF	300973 CH	Jack Chen
	Lion	LIOPF	4912 JP	Kentaro Hosoda
	Mao Geping	XMGOF	1318 HK	Lucy Yu
	Marico	MAIOF	MRCO IN	Aditya Mathur
	MatsukiyoCocokara & Co	MSMKF	3088 JP	Arashi Nishizawa
	Mengniu Dairy	CIADF	2319 HK	Chen Luo, CFA
	Midea Group	MGCOF	300 HK	Chen Luo, CFA
	Midea Group Co Ltd	XMGEF	000333 CH	Chen Luo, CFA
	New Oriental Education & Technology	EDU	EDU US	Lucy Yu
	New Oriental Education & Technology	NWOEF	9901 HK	Lucy Yu
	Nien Made Enterprise	XNRBF	8464 TT	Yoyo Pang
	Nitori Holdings	NCLTF	9843 JP	Arashi Nishizawa
	Nongfu Spring	NNFSF	9633 HK	Jack Chen
	PAL Group Holdings	PALZF	2726 JP	Arashi Nishizawa
	Pan Pacific International HD	DQJCF	7532 JP	Arashi Nishizawa
	Pigeon	PIGEF	7956 JP	Kentaro Hosoda
	Roborock Technology	XBTLF	688169 CH	Yoyo Pang
	ROHTO	RPHCF	4527 JP	Kentaro Hosoda
	Ryohin Keikaku	RYKKF	7453 JP	Arashi Nishizawa
	Ryohin Keikaku	RYKKY	RYKKY US	Arashi Nishizawa
	Samsonite International	SMSOF	1910 HK	Jack Chen
	Seven & i Holdings	SVNDF	3382 JP	Arashi Nishizawa
	Shanxi Fen Wine	XCKZF	600809 CH	Chen Luo, CFA
	Shenzhou International	SZHIF	2313 HK	Chen Luo, CFA
	Shinsegae	SDKLF	004170 KS	Ahyung Cho
	Sugi Holdings	SGIPF	7649 JP	Arashi Nishizawa
	Sundrug	SDGCF	9989 JP	Arashi Nishizawa
	TAL	TAL	TAL US	Lucy Yu
	Titan Company	XNXAF	TTAN IN	Aditya Mathur
	Trial Holdings	XIKRF	141A JP	Arashi Nishizawa
	Tsingtao Brewery	TSGTF	168 HK	Chen Luo, CFA
	Tsingtao Brewery	XTSOF	600600 CH	Chen Luo, CFA
	Tsuruha Holdings	TSUSF	3391 JP	Arashi Nishizawa
	UNITED ARROWS	UARWF	7606 JP	Arashi Nishizawa
	United Spirits	XUNIF	UNITDSPR IN	Aditya Mathur
	Varun Beverages	XMKDF	VLB IN	Aditya Mathur
	Wanchen Group	XFWXF	300972 CH	Jack Chen
	WH Group Limited	WHGRF	288 HK	Chen Luo, CFA
	Yankershop Food	XYNKF	002847 CH	Jack Chen
	Yili Industrial Group	XIDRF	600887 CH	Chen Luo, CFA
	Yum China	YUMC	YUMC US	Chen Luo, CFA
	Yum China	XYUMF	9987 HK	Chen Luo, CFA



APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
NEUTRAL				
	Ajinomoto	AJINF	2802 JP	Manabu Sumoge
	Arashi Vision	XSNSF	688775 CH	Ronald Leung, CFA
	Asahi Group Holdings	ASBRF	2502 JP	Manabu Sumoge
	Asian Paints	XSAFF	APNT IN	Aditya Mathur
	Avenue Supermarts	XWCVF	DMART IN	Aditya Mathur
	Britannia Industries	XJNDF	BRIT IN	Aditya Mathur
	China Feihe	CHFLF	6186 HK	Jack Chen
	China Resources Beverage	XCRBF	2460 HK	Jack Chen
	Chow Tai Fook Jewellery	CJWVF	1929 HK	Ronald Leung, CFA
	E-Mart	EMRTF	139480 KS	Ahyung Cho
	Foshan Haitian Flavouring & Food Co Ltd	XCMJF	603288 CH	Jack Chen
	Gree Electric Appliances	ZHUHF	000651 CH	Chen Luo, CFA
	GS Retail	XGLTF	007070 KS	Ahyung Cho
	Haidilao International Holding Ltd.	HDALF	6862 HK	Lucy Yu
	Hindustan Unilever	HINLF	HUVR IN	Aditya Mathur
	Hisense Home Appliance	XMBQF	000921 CH	Lucy Yu
	Hisense Home Appliance	HISEF	921 HK	Lucy Yu
	ITC	ITCTF	ITC IN	Aditya Mathur
	Jason Furniture	XVZDF	603816 CH	Yoyo Pang
	Kao	KAOCF	4452 JP	Kentaro Hosoda
	KOSE Holdings	KOSCF	4922 JP	Kentaro Hosoda
	Kusuri No Aoki Holdings	XADAF	3549 JP	Arashi Nishizawa
	Laopu Gold	XLGBF	6181 HK	Ronald Leung, CFA
	Man Wah Holdings	MAWHF	1999 HK	Yoyo Pang
	MINISO Group Holdings	MNSO	MNSO US	Lucy Yu
	MINISO Group Holdings	XKTAF	9896 HK	Lucy Yu
	Pop Mart	POPMF	9992 HK	Alice Ma
	Proya Cosmetics	XPXCF	603605 CH	Lucy Yu
	Robam Appliance	XVPDF	002508 CH	Lucy Yu
	Suntory Beverage & Food	STBFF	2587 JP	Manabu Sumoge
	Tata Consumer Products	XTCUF	TATACONS IN	Aditya Mathur
	Tingyi	TCYMF	322 HK	Jack Chen
	Topsports International Holding Ltd.	TPSRF	6110 HK	Lucy Yu
	Unicharm	UNCHF	8113 JP	Kentaro Hosoda
	Uni-president China	UNPSF	220 HK	Jack Chen
	Wuliangye Yibin	YBWUF	000858 CH	Chen Luo, CFA
	Yamada Holdings	YMDAF	9831 JP	Arashi Nishizawa
	Yonghui Superstores Co Ltd	XQYXF	601933 CH	Lucy Yu
	Yue Yuen	YUEIF	551 HK	Yoyo Pang
UNDERPERFORM				
	Anjoy Foods	XSWCF	603345 CH	Jack Chen
	Bairun	XSBZF	002568 CH	Jack Chen
	Colgate-Palmolive India	CPIYF	CLGT IN	Aditya Mathur
	Eclat	ECLAF	1476 TT	Ronald Leung, CFA
	Feng Tay	FTGYF	9910 TT	Ronald Leung, CFA
	Fuling Zhacai	XSRTF	002507 CH	Jack Chen
	Gambol Pet	XYEDF	301498 CH	Alice Ma
	Giant Manufacturing	GTMUF	9921 TT	Ronald Leung, CFA
	Hotel Shilla	HSLLF	008770 KS	Ahyung Cho
	Jiangsu Yanghe Brewery	XJBTF	002304 CH	Chen Luo, CFA
	Kobayashi Pharmaceutical	KBYPF	4967 JP	Kentaro Hosoda
	Lai Yih Footwear	XAWWF	6890 TT	Ronald Leung, CFA
	LG H&H	LGHFF	051900 KS	Ahyung Cho
	Lotte Shopping	LOSPF	023530 KS	Ahyung Cho
	Luzhou Laojiao	XMBBF	000568 CH	Chen Luo, CFA
	Makalot Industrial	MAKAF	1477 TT	Ronald Leung, CFA
	Merida Industry Co Ltd	MIUYF	9914 TT	Ronald Leung, CFA
	Mixue Group	XDGRF	2097 HK	Chen Luo, CFA
	Nestle India	XNTEF	NEST IN	Aditya Mathur
	Oppein Home Group	XKXRF	603833 CH	Yoyo Pang
	Pidilite Industries	PDLFF	PIDI IN	Aditya Mathur
	Pola Orbis HD	PORBF	4927 JP	Kentaro Hosoda
	Sapphire Foods	XLQLF	SAPPHIRE IN	Aditya Mathur

APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Sapporo Breweries	SOOBF	2501 JP	Manabu Sumoge
	Seria	SAOGF	2782 JP	Arashi Nishizawa
	Shanghai Jahwa	SNJUF	600315 CH	Lucy Yu
	SHIMAMURA	SHAOF	8227 JP	Arashi Nishizawa
	Smooore	SMORF	6969 HK	Alice Ma
	Suofeiya Home Collection Co Ltd	XGUZF	002572 CH	Yoyo Pang
	United Breweries	UBWRF	UBBL IN	Aditya Mathur
	Want Want China	WWNTF	151 HK	Chen Luo, CFA
	WORKMAN	WKISF	7564 JP	Arashi Nishizawa
	Yihai Intl	YNNHF	1579 HK	Lucy Yu
	Yihai Kerry Arawana	XYIHF	300999 CH	Jack Chen

iQmethodSM Measures Definitions

Business Performance

Return On Capital Employed

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill
Amortization
Shareholders' Equity
Sales
N/A
N/A

Return On Equity

Net Income

Operating Margin

Operating Profit

Earnings Growth

Expected 5 Year CAGR From Latest Actual

Free Cash Flow

Cash Flow From Operations – Total Capex

Quality of Earnings

Cash Realization Ratio

Cash Flow From Operations

Asset Replacement Ratio

Capex

Tax Rate

Tax Charge

Net Debt-To-Equity Ratio

Net Debt = Total Debt – Cash & Equivalents

Interest Cover

EBIT

Denominator

Net Income
Depreciation
Pre-Tax Income
Total Equity
Interest Expense

Valuation Toolkit

Price / Earnings Ratio

Current Share Price

Price / Book Value

Current Share Price

Dividend Yield

Annualised Declared Cash Dividend

Free Cash Flow Yield

Cash Flow From Operations – Total Capex

Enterprise Value / Sales

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +
Other LT Liabilities

Denominator

Diluted Earnings Per Share (Basis As Specified)
Shareholders' Equity / Current Basic Shares
Current Share Price
Market Cap = Current Share Price × Current Basic Shares
Sales

EV / EBITDA

Enterprise Value

Basic EBIT + Depreciation + Amortization

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Midea (MGCOF) Price Chart



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Midea Electric (XMGEF) Price Chart



The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Consumer Products Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	38	47.50%	Buy	18	47.37%
Hold	25	31.25%	Hold	9	36.00%
Sell	17	21.25%	Sell	9	52.94%

Equity Investment Rating Distribution: Electrical Equipment Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	18	66.67%	Buy	10	55.56%
Hold	3	11.11%	Hold	2	66.67%
Sell	6	22.22%	Sell	1	16.67%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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